

1 TWO MOVING AVERAGE CROSSOVER

In keeping with this method, we will consider 2 different moving averages, one long term, and another short term. Whenever they cut each other, we will treat those points like entry and exit points.

The idea here is that the short term moving average follows the closing price closely whereas the long term moving average follows the closing price relatively slowly. As a result, when the short-term moving average is above the long-term moving average, we can say that in the recent past, the asset price has been more than the longer-term average and as a result, the asset seems to be in control of the bulls.

